

**IN THE COURT OF APPEAL OF SEYCHELLES**

**Reportable/ Not Reportable / Redact**  
**[2020] SCCA 18 December 2020**  
**SCA 24/2018**  
**(Appeal from MC 42/2017)**

**CABLE & WIRELESS SEYCHELLES**  
**LIMITED**

**Appellant**

**(rep. by Mr. Frank Elizabeth)**

**and**

**MINISTRY OF BROADCASTING &**  
**TELECOMMUNICATION**  
**GOVERNMENT OF SEYCHELLES**

**Respondents**

**(rep. by Mr. George Thachett)**

**Neutral Citation:** *Cable & Wireless Seychelles Limited v Ministry of Broadcasting & Telecommunication and Anor* (SCA 24/2018) [2020] SCCA - (18 December 2020).

**Before:** Robinson JA, Tibatemwa-Ekirikubinza JA, Dingake JA

**Summary:** Judicial Review – Minister’s Order – Whether Appellant afforded a hearing before taking the decision sought to be impugned – held – application of the principles of natural justice depends on the circumstances of each case – in this case they were not breached.

**Heard:** 3 December 2020

**Delivered:** 18 December 2020

**ORDER**

**The appeal is dismissed with costs.**

**JUDGMENT**

**DINGAKE JA**

## **INTRODUCTION**

- [1] The issue before us rotates around whether in the circumstances of this case the decision of the Minister sought to be quashed was arrived at in breach of the principles of natural justice and or the *audi alteram partem* rule. The Appellant, Cable & Wireless (Seychelles) Ltd (the Petitioner in the Supreme Court), prays that this court sets aside the Judgment of the Supreme Court and issue a writ of certiorari against Ministerial Order quashing the said Order for want of compliance with the principles of natural justice.. The 1<sup>st</sup> Respondent is Minister of Broadcasting and Telecommunication and the 2<sup>nd</sup> Respondent is the Government of Seychelles.

## **BACKGROUND**

- [2] The undisputed facts of this matter are that Intelvision lodged a complaint against the Appellant with the Department of Information and Communication Technology (the “DICT”) stating that it had been experiencing issues with incoming international calls being blocked on the Appellant’s network. Intelvision alleged further that it had made numerous attempts to rectify and resolve the issue with the Appellant but minimal progress had been made.
- [3] The DICT also sent several letters to the Appellant requesting a response and advising that a technical meeting with the Intelvision be held. It would seem that the Appellant did not respond to the letters. Subsequently, a meeting took place between the service operators and following the meeting a decision was made that the operators need to ensure that fully functional termination of incoming international telephone service via the interconnect is re-established to its proper working condition.
- [4] The Appellant has not complied with the decision and has replied to the DICT through its Attorney raising several issues and or arguments. Eventually, after almost a year since the decision was taken, Ministerial Order was made directing the Appellant to re-establish and restore interconnection to all licensed operators. On the evidence we have perused we have not seen any evidence of any prejudice that would befall the Appellant if it were to comply with the Order of the Minister, as such compliance is in fact required by law.

- [5] The Appellant applied for judicial review and a writ of certiorari quashing the Order of the 1<sup>st</sup> Respondent. Leave to apply was granted, however, the Petition was later dismissed by the Supreme Court in April 2018, hence this appeal.

### **GROUND OF APPEAL**

*Ground 1 – The Learned Chief Justice erred when she gave judgment in favour of the Respondents on the basis that the Ministerial Order was made after substantial correspondence and meetings with the Appellant and that given the provisions of the Agreement, the licence and the Act, that the Minister did not behave unreasonably, irrationally or improperly in issuing of the Order.*

*Ground 2 – the learned Chief Justice failed to consider and address the issue and concept of audi alterem partem and the rules of natural justice sufficiently, properly or at all in her judgment.*

*Ground 3 – The Learned Chief Justice failed to address the manner in which the decision was taken by the Minister and to pronounce herself on the issue as to whether it was proper, sufficient and in accordance with the rules and principles of natural justice and fair hearing.*

- [6] Before discussing the grounds of appeal, and since the Appellant has come to this court complaining of breach of natural justice, more particularly, the audi alteram partem rule, it may be necessary to define the concept of natural justice although in real life cases definitions tend to have limited utility. Essentially the rules of natural justice have two main categories: the first is the rule against bias (memo judex in causa sua) and second is, hear the other side (audi alteram partem) or fair hearing.

- [7] Generally speaking the rules of natural justice require that the decision - maker must conduct the decision –making process with fairness. What is fair in a particular case may differ. Lord Steyn in Lloyd v McMahon (1987) AC 625 said that the “ the rules of natural justice are not engraved on tablets of stone”. Their application depends on the circumstances of each case. And since I cannot express the idea better, I will let Lord

Tucker to do so. In the case of Russell v Duke of Norfolk (1949) 1 ALL ER 109, at p.118, he stated the position as follows:

*“The requirements of natural justice must depend on the circumstances of the case, the nature of the inquiry, the rules under which the tribunal is acting, the subject matter that is being dealt with, and so forth. Accordingly, I do not derive much assistance from the definitions of natural justice which have been from time to time used, but, whatever standard is adopted, one essential is that the person concerned should have a reasonable opportunity of presenting his case”*

[8] It is now settled that there is a duty to act fairly, in the sense of according procedural fairness, in the making of administrative decisions which affects rights, interests, legitimate expectations, save where a statute expressly provides otherwise. ( Raihl v Ministry of National Development (SCA 6/20090 [2010] SCCA 3 ( 20 May 2010)

[9] In the case cited above, this court endorsed the view that perhaps the better term to use instead of natural justice is “ the duty to act fairly”. The court quoted with approval a passage from the locus classicus case of Council of Civil Service Unions v Minister of Civil Service (1985) AC 374, to the effect that:

*“ ...Principles of “ natural justice” is a term now hallowed by time, through over use by judicial and other repetition. It is a phrase often widely misunderstood and therefore as often misused. The phrase perhaps might now be allowed to find a permanent resting place and better replaced by another term such as “ a duty to act fairly”*

[10] I am in total agreement with the above sentiments. It also seems to me that when all is said and done the authorities are clear that whether or not the principles of natural justice have been breached is a matter of the circumstances of each case, which includes the context of the matter, the nature and character of the decision maker. Whilst the courts insist on the need to follow the principles of natural justice including affording a party likely to be adversely affected by a decision a hearing, they do not expect the processes of administrative and or public bodies to be as painstakingly thorough and studious like those of the courts.

[11] In the cases of *Stuart v Haughley Church Council* (1935) Ch. 452 and *Local Government Board v Arlidge* [1945] AC 120 the court held that a “hearing” need not always be “oral” and that a consideration of written submissions and evidence was sufficient. Both cases were cited with approval in the case of *Amalgamated Tobacco Company (Sey) Ltd v The Minister of Employment and Others* 1996 The Seychelles Law Reports.

[12] The above principles shall shape and give direction to this matter based on the specifics of this case such as the nature of the parties, the dispute, the issues in question, and the public purposes that the decision making process is fulfilling.

[13] The leading Canadian case of *Baker v Canada (Minister of Citizenship and Immigration)* 2 S.C.R (817 (1999) at para 21 made it clear that this context based approach to fairness means that practices that do not meet the standard of administrative fairness in one decision-making context may be adequate in another. In order to assist with this determination, the court set out five factors to be considered:

- The nature of the decision,
- The nature of the statutory scheme,
- The importance of the decision to the individual affected,
- The legitimate expectations of the parties, and
- The choice of procedure made by the decision-maker.

[14] With the above authorities and principles in mind, I now turn to the grounds of appeal in this matter.

[15] With regard to Ground 1 of the Appeal, learned Counsel for the Appellant submits in the Skeleton Arguments that, “there was no evidence . . . that decision of the Minister was taken after substantial correspondence and meetings with the Appellant”. The Appellant submits that “no such meetings and substantial correspondence took place” prior to the Minister taking the decision he did.

[16] With regard to Ground 2 the Appellant submits, among other things, that the learned Chief Justice failed to consider the issue of *audi alterem partem* and the rules of natural justice; that the 1<sup>st</sup> Respondent failed to give reasons or adequate reasons for the Order; that the learned Chief Justice failed to consider whether or not the Appellant (then Petitioner) was afforded a right to be heard before the decision was taken; that the learned Chief Justice erroneously summarised the case of the Appellant at paragraph 44-47 of the Judgment and erred in her conclusion that the Appellant failed to show that actions of the Respondent in issuing the order were unreasonable, irrational or procedurally improper given the terms of the agreement and the licence.

[17] With regard to Ground 3 the Appellant submits that all three grounds are intertwined and that arguments raised above will be raised regarding Ground 3.

[18] It is important to have regard to the correspondence between the parties hereto and the Appellant in order to gain insight on the issue of whether the process leading to the Order of the Minister sought to be impugned was fair or not.

### **Correspondence and Meeting**

[19] Below is the correspondence that was produced:

#### Dates

14 April 2016

The DICT informed Appellant about complaint against them made by Intelvision asking for response not later than 19<sup>th</sup> April.

22 April 2016

Letter from the DICT reminding the Appellant about complaint, referring to email correspondence between the Appellant and Intelvision; advising that “*interconnection agreements make provision for technical review meeting*” to address the issue and that Intelvision has attempted to organize a meeting with the Appellant to no avail. The letter also indicated that interconnection is mandated under law and that while there is no urgency in the Appellant’s part to resolve the problem their reply that they will “revert in due course” may be “*construed as an uncooperative behavior or an abusive*

conduct as a major/dominant operator in Seychelles". The letter directed the Appellant to undertake to resolve the problem and have a technical review meeting with Intelvision in accordance with the interconnection agreement; reminded the Appellant to respond to the first letter dated 14<sup>th</sup> April 2016 and to provide update on agreed action after technical review meeting, not later than 26<sup>th</sup> April 2016.

23 May 2016

The DICT informed the Appellant regarding meeting scheduled for 25 May 2016, objective of which was to resolve the problem relating to termination of incoming international call service over the interconnection; the Appellant was asked to confirm attendance.

24 May 2016

The DICT acknowledged email and phone conversation with the Appellant and took notice that the Appellant would be represented at the meeting.

25 May 2016

Letter from the DICT referencing the meeting that took place, informing that due to difficulties regarding termination of incoming international telephone service via interconnect, the Government has taken decision that the operators need to resolve any problems with regards to interconnection and all operators need to ensure proper functional service by the 03 June 2016.

08 June 2016

Letter from the Appellant's Counsel addressed to the DICT referring to the letter from the DICT dated 25 May 2016 informing that, "it is the obligation of all local operators to make their own call termination arrangements with overseas providers"; that, the Appellant is of the view that, "providing such a facility, would entail maintenance of additional and unnecessary technical facility at substantial cost and expense and with no significant benefits" to the Appellant or its customers; that Intelvision sent the Appellant "on a wild goose chase" when the issue was at Intelvision; based on this arguments the Counsel stated that, "I do not see why my Client should expand its resources when its traffic is coming directly to it and additionally as I have been advised by it that there

have been no customer complaints". The letter further states that "imposition to continue the allowance of calls via a 'local transit operator'" has no logical bearing, that, "the market is mature enough to allow operators to get their own traffic directly, and not still have unnecessary structures . . . to protect other operators", at the expense of the Appellant. Therefore, the obligation to maintain the technical facility on the Appellant has become redundant and entail unnecessary cost. The Counsel also stated that issue that the DICT requires the Appellant to comply with should not fall within the authority of the DICT.

22 September 2016

Letter from President's Office, Department of Legal Affairs, Assistant Principal Legal Draftsperson for Attorney General addressed to Director General (Communication) enclosing modified draft Ministerial order directing the Appellant to restore interconnection with other licenced operators.

13 June 2017

Letter from the DICT enclosing Ministerial order relating to interconnection pursuant to Section 33(3) of the Broadcast and Telecommunication Act 2000 (the "BTA"), Order dated 1 June 2017

[20] On the basis of the above correspondence, I find that it is difficult to agree with the Appellant's submissions that no substantial correspondence took place.

[21] A perusal of the record suggests that the Appellant was periodically informed about the complaints and attended joint meeting in this regard with all the stakeholders herein. Furthermore the record seems to suggest that during the meeting of 25 May 2016, all telecommunication operators were given the opportunity to voice out their concern on the interconnection issue.

[22] It is also a matter of record that during the meeting of the 25<sup>th</sup> May 2016 a decision was taken that all telecommunication service providers should allow interconnection of all types of calls and that the service providers should take necessary measures to resolve

any problems with regard to the termination of incoming international telephone calls via interconnection.

[23] I have gone through the record with a fine comb and I failed to see any evidence that tends to suggest that the Appellant complied with the decision or with the directions issued by the department. In my mind it is plain that the Order issued under section 33 of the BTA was taken in consideration of the persistent refusal of the Appellant to comply with their statutory, licence and interconnection agreement obligations and decisions and directions issued by the department.

[24] It is not clear to me on what basis the Appellant is arguing that there was no correspondence, when it was produced to the court; and that there was no meeting, when the Appellant did not expressly deny attending a meeting on the 25 May 2016.

[25] Having regard to Ground one alone I do not see in what way the decision of the Minister sought to be impugned was unfair, unreasonable, irrational or improper.

### **Legality, Rationality (Reasonableness) and Propriety**

[26] Three main grounds on which a decision can be subject to judicial review established by the UK and our case law are illegality, irrationality and procedural impropriety (*Council of Civil Service Unions and others v Minister for the Civil Service* [1983] UKHL 6; [1984] 3 All ER 935). This approach was followed in Seychelles courts (*Wells v Mondon and Another* (257 of 2009) [2010] SCSC 7; *Le Meredien Barbarons v Employment Tribunal* (51 of 2009) [2010] SCSC 35; *Vijay Construction (Pty) Ltd v Andre* (MC 108/2014) [2016] SCSC 21).

[27] In the case of *Jivan vs Seychelles International Business Authority* (MC 15/2013) [2016] SCSC 108 the court correctly pointed out that when administrative decision or act or order is subject to judicial review, ‘the Court is concerned only with the “legality”, “rationality” (reasonableness) and “propriety” of the decision in question’.

[28] The Appellant submitted extensive case law with regards to these concepts and in particular regarding “Wednesbury test” or “Wednesbury unreasonableness” (pages F10-F17) in the Supreme Court.

[29] Lord Diplock explained irrationality in *Council of Civil Service Unions and others v Minister for the Civil Service* [1984] 3 All ER 935 as follows:

“By ‘irrationality’ I mean what can now be succinctly referred to as ‘Wednesbury unreasonableness’... It applies to a decision which is outrageous in its defiance of logic or of accepted moral standards that no sensible person who had applied his mind to the question to be decided could have arrived at it.”

[30] The Court in *Servina v Seychelles International Business Authority* (487) [2016] SCSC 487) stated that in determining rationality or reasonableness one should examine whether the decision-maker took into account ‘factors that ought to be taken into account’ and did not take into account ‘factors that ought not to be taken into account’ and, furthermore, that the decision must not be so unreasonable ‘that no reasonable authority would ever consider imposing it (*Associated Provincial Picture Houses Ltd v Wednesbury Corporation* [1948] 1 KB 223)’. The court also stated that in applying the test, the Court needs to keep in mind that Judicial Review is concerned with the manner in which decision was made and not the merits of that decision. Thus the decision can be unreasonable if the decision maker considers irrelevant facts and ignores the relevant ones.

[31] The Appellant’s contention, that the Respondent either failed to take into account relevant considerations or took into account irrelevant considerations and that the decision was outright preposterous; that the Respondent failed to avail the Appellant the opportunity to be heard violating *audi alterem partem*; and that the Respondent was favouring Intelvision does not seem to be grounded on any cogent evidence and is plainly without merit.

[32] The letter containing the Order of the Minister sought to be impugned, contains the necessary background and information that sheds light on the long road taken that

culminated in the Order. It is therefore appropriate at this juncture to turn my attention to the reasons of the Order and the factors that motivated the decision under challenge.

### **Reasons for the Order & Considered Factors**

[33] The Order lists the events that had happened (complaint, letters, meeting), notes the points that were raised by the Appellant's Counsel Letter and concludes at page 2 of the order (B29) that:

*"upon consideration of the points raised by the Attorney-At-Law of CWS and other correspondences, the DICT considers that CWS has not been acting in good faith to resolve the issues of terminating (failure to terminate) of incoming international calls into its network transiting through Intervision's network;"*

[34] The Order goes on to state that the Appellant has an obligation to provide interconnection services as per paragraph 8 of their licence, under section 30 of the BTA and interconnection agreements. Therefore, the order does give reasons for issuing it: statutory, licence, agreement obligations as well as upon consideration of the points raised by the Appellant's Counsel, the DICT considered that Appellant was not acting in good faith.

[35] As I pointed out earlier, the Respondent confirms that the Order under section 33 of the BTA was taken in consideration of the persistent refusal of the Appellant to comply with their statutory, licence and interconnection agreement obligations and decisions and directions issued by the department. It is also the view of the Respondent that the order is a "speaking order and that the reasons for the decision are clearly stated in the order".

[36] In this case fairness requires that this matter be assessed in the context of not only the correspondence that ensued between the parties, including of course the letter from the Appellant's attorney that preceded the decision, but also within the applicable statutory framework that has a bearing on the decision taken by the Minister. It is to the essence of the statutory framework and license obligations that I now turn.

### **Statutory, Agreement and Licence Obligations**

[37] I must make it clear that I have read all the statutory provisions that were cited in the Supreme Court and the Minister in his Order. I do not propose to reproduce all the sections of the law relied upon by the parties, as that is unduly cumbersome.

[38] In my mind the statutory scheme governing this matter and the concomitant license obligations require the Appellant to cooperate with officials of the Respondent and or the Minister to ensure that all the issues that arise in the sector are resolved. In this case there is evidence that the Appellant did not always cooperate. For instance, the letter from DICT notified and reminded the CEO of the Appellant regarding complaint lodged, asked to respond and advised to have a technical meeting with Intelvision. The Appellant seems to have neither replied nor arranged separate technical meeting with Intelvision.

#### **Audi Alterem Partem and the Rules of Natural Justice**

[39] The Appellant submits that the learned Chief Justice failed to consider whether or not the Appellant was afforded a right to be heard before the decision was taken; failed to consider *audi alterem partem* and the rules of natural justice; that the Appellant was not given the opportunity to be heard, and that the learned Chief Justice failed to deal with the issue as to whether the decision of the minister was proper, sufficient and in accordance with the rules and principles of natural justice and fair hearing.

[40] The learned Chief Justice considered the abovementioned issue at paragraph 46 and concluded that the Order was made after substantial correspondence and meetings with the Appellant and that, therefore, it cannot be said that the Appellant's fair hearing right were breached.

[41] The Appellant was notified about the complaint, asked to respond and advised to arrange meeting with the Intelvision as per their agreement to resolve the issue. Appellant failed to do so. The DICT had meeting with all the service providers and the Appellant failed to raise their concerns at the meeting. The Appellant was notified regarding the decision of the DICT that the interconnection should be re-established. The Appellant has failed to comply with the deadline and has instructed their Attorney to send a letter to the DICT raising points which were noted in the Order..

- [42] In the case of Amalgamated Tobacco Company (Sey) Ltd, cited, supra, it was held that fairness does not necessarily require an oral hearing. This is one such case. The Appellant engagement with the Respondent and other stakeholders was prolonged. The Appellant knew the concerns of the Respondent and other stakeholders. It was afforded an opportunity to state its side of the story. Its Attorney wrote a letter to the Minister to put its side of the story and the Minister responded to the position of the Appellant in his letter containing the order sought to be impugned. In the circumstances of this case the Appellant was afforded a hearing before the Minister took the decision sought to be impugned.
- [43] In the Zimbabwe case of *H v St John's College 2013 (2) ZLR 621 (H)* the applicant had breached school rules and disciplinary measures were taken by the school by barring him from attending the school leavers dance. Before barring the student, the school had called for an explanation. This had been ignored by the applicant. The school had then taken measures to try to get a response. It was held that the *audi alteram partem* was not breached and student had spurned the opportunity afforded by the school to explain breach of school rules by him.
- [44] The Appellant's Counsel submitted that there was no investigation by the DICT/Respondent regarding what caused the issue of interconnection, however, they also do not deny that they are not happy to provide the said service and according to them it is not their obligation, but obligation of each of the providers. This is, however, contrary to the agreement and licence that they have. The Appellant argued that the Respondent favours the Intelvision, however, they decided not to explain reasons for such averments.
- [46] Having regard to the circumstances of this case, that includes the importance of complying with the law and the Orders of the Minister to other stakeholders, the communication exchanged between the Appellant and the Minister, the obligations imposed on the Minister by the law, the issuance to the Appellant of the notices of complaint, lost opportunity to raise concerns at meeting, demonstrates quite clearly that the decision of the Minister was arrived at after following a fair process.

[47] In the result, having regard to all the above, this appeal is without merit and is liable to be dismissed with costs as I hereby do.

Signed, dated and delivered at Palais de Justice, Ile du Port on 18 December 2020

\_\_\_\_\_  
Dingake JA

I concur \_\_\_\_\_

\_\_\_\_\_  
Robinson JA

\_\_\_\_\_  
Tibatemwa

I concur \_\_\_\_\_

\_\_\_\_\_  
Tibatemwa-Ekirikubinza



**~~Child Support Legislation Amendment Act 1992~~**

**~~No. 13 of 1992~~**

**An Act to amend the legislation relating to child support**

*[Assented to 6 April 1992]*

The Parliament of Australia enacts:

**PART 1 — PRELIMINARY**

**Short title**

~~1. This Act may be cited as the *Child Support Legislation Amendment Act 1992*.~~

**Commencement**

~~2. This Act commences on the day on which it receives the Royal Assent.~~

**PART 2 — AMENDMENTS OF THE CHILD SUPPORT (ASSESSMENT) ACT 1989**

**Principal Act**

~~3. In this Part, "**Principal Act**" means the *Child Support (Assessment) Act 1989*<sup>1</sup>.~~

### **Persons who may apply**

~~4. Section 25 of the Principal Act is amended:~~

~~(a) by omitting from paragraph (1)(c) "and (3)" and substituting ", (3) and (4)";~~

~~(b) by adding at the end the following subsection:~~

~~"(4) If the child is under the guardianship of, in the custody of, or care and control of, a person under a child welfare law, the application may only be made by an eligible custodian of the child who is a parent, or relative, of the child."~~

~~5. After Part 6 of the Principal Act the following Part is inserted:~~

### ~~**"PART 6A — DEPARTURE FROM ADMINISTRATIVE ASSESSMENT OF CHILD SUPPORT"**~~

### **Object of Part**

~~"98A.(1) The object of this Part is, subject to subsection (2), to give power to the Registrar to make a determination having the effect that the provisions of this Act relating to administrative assessment of child support will be departed from in relation to a child.~~

~~"(2) The Registrar is not empowered under this Part to make a determination in relation to child support payable in the child support year ending on 30 June 1992.~~

### **Application for determination under Part**

~~"98B.(1) If, at any time when an administrative assessment is in force in relation to a child:~~

~~(a) the liable parent concerned; or~~

~~(b) the custodian entitled to child support concerned;~~

~~is of the view that, because of special circumstances that exist, the provisions of this Act relating to administrative assessment of child support should be departed from in relation to the child, the liable parent or custodian may, by written application, ask the Registrar to make a determination under this Part.~~

~~"(2) The parties to the application are the liable parent and the custodian entitled to child support.~~

### **Matters as to which Registrar must be satisfied before making determination**

~~"98C.(1) Subject to this Part, if:~~

~~(a) an application is made to the Registrar under section 98B; and~~

~~(b) the Registrar is satisfied:~~

~~(i) — that one, or more than one, of the grounds for departure referred to in subsection (2) exists; and~~

~~(ii) — that it would be:~~

~~(A) — just and equitable as regards the child, the liable parent, and the custodian entitled to child support; and~~

~~(B) — otherwise proper;~~

~~to make a particular determination under this Part;~~

~~the Registrar may make the determination.~~

~~"(2) For the purposes of subparagraph (1)(b)(i):~~

~~(a) the grounds for departure from the provisions of this Act relating to administrative assessment of child support in relation to the child are the same as the grounds for departure set out in subsection 117(2); and~~

~~(b) sub-subparagraph 117(2)(b)(i)(A) has effect subject to subsection 117(3).~~

~~"(3) Subsections 117(4) to (9) (inclusive) apply to the Registrar in the exercise of his or her powers under this section as if:~~

~~(a) any reference in those subsections to the court were a reference to the Registrar; and~~

~~(b) any reference to an order were a reference to a determination.~~

#### **Determinations that may be made under Part**

~~"98D.(1) The determinations that the Registrar may make under this Part are as follows:~~

~~(a) a determination varying the rate of child support payable by the liable parent concerned;~~

~~(b) a determination varying the child support percentage, adjusted income amount, child support income amount or exempted income amount of the liable parent;~~

~~(c) a determination making provision of a kind permitted under the regulations with respect to the calculation of any such amount in relation to the liable parent;~~

~~(d) a determination varying the child support income amount or disregarded income amount of the custodian entitled to child support concerned;~~

~~(e) a determination making provision of a kind permitted under the regulations with respect to the calculation of any such amount in relation to the custodian entitled to child support;~~

~~(f) a determination directing that one or more of the following provisions is not to apply:~~

~~(i) — section 41 (Child support not payable if child support income amount does not exceed exempted income amount);~~

~~(ii) — section 42 (Cap on child support if child support income~~

~~amount exceeds 2.5 times yearly equivalent or relevant AWE amount);~~

~~(iii) section 52 (Cap on combined child support liabilities of 2 liable parents);~~

~~(g) a determination varying a factor ascertained under paragraph 54(b).~~

~~"(2) A determination under this section may make different provision in relation to different child support years and in relation to different parts of a child support year.~~

~~"(3) The Registrar must give, in writing, the reasons for making the determination (including the reasons for which the Registrar is satisfied as required by paragraph 117(1)(b)).~~

~~"(4) A contravention of subsection (3) in relation to a determination does not affect the validity of the determination.~~

#### **Formal requirements for application**

~~"98E.(1) An application under section 98B must:~~

~~(a) be in the appropriate approved form; and~~

~~(b) set out the grounds on which the application is made.~~

~~"(2) The application must be:~~

~~(a) verified as required by the form of application; and~~

~~(b) accompanied by such documents (if any) as are required by the form of application to accompany the application.~~

~~"(3) A document that accompanies the application must also be verified as required by the form of application.~~

#### **Application disclosing no grounds etc. for making determination — how dealt with**

~~"98F. If the Registrar is satisfied, after considering the application, that:~~

~~(a) there are no grounds for departing from the provisions of this Act relating to administrative assessment of child support in relation to the child concerned; or~~

~~(b) that it would not be:~~

~~(i) just or equitable as regards the child or either party to the application; or~~

~~(ii) otherwise proper;~~

~~to make the determination;~~

~~the Registrar may refuse to make the determination without taking any further action under this Part.~~

### **Other party to be notified**

~~"98G.(1) If section 98F does not apply, the Registrar must cause a copy of:~~

- ~~(a) the application; and~~
- ~~(b) any document accompanying it;~~

~~to be served on the other party to the application.~~

~~"(2) The Registrar must, at the same time, inform the other party to the application in writing that he or she may make any representation (in this section called a 'reply') regarding the application that he or she considers relevant.~~

~~"(3) Any reply to an application must:~~

- ~~(a) be in the appropriate approved form; and~~
- ~~(b) be made to the Registrar.~~

~~"(4) The reply must be:~~

- ~~(a) verified as required by the form of reply; and~~
- ~~(b) accompanied by such documents (if any) as are required by the form of reply to accompany the reply.~~

~~"(5) A document that accompanies the reply must also be verified as required by the form of reply.~~

### **Procedure for dealing with application**

~~"98H.(1) In making a decision under this Part in relation to an application, the Registrar:~~

- ~~(a) may act on the basis of:~~
  - ~~(i) the application and the documents accompanying it; and~~
  - ~~(ii) if action has been taken under section 98G the reply (if any) to the application and the documents (if any) accompanying it; and~~
- ~~(b) may, but (subject to subsection (2)) is not required to, conduct any inquiry or investigation into the matter.~~

~~"(2) The Registrar must give an opportunity to:~~

- ~~(a) the applicant; and~~
- ~~(b) if action has been taken under section 98G the other party to the application;~~

~~to appear before the Registrar, and be heard by him or her, if they so wish.~~

~~"(3) Nothing in subsection (2) empowers the Registrar to compel a party to an application to appear before the Registrar in the presence of the other party.~~

~~"(4) Any hearing before the Registrar, and any inquiry or investigation carried out by the Registrar, is to be carried out as the~~

Registrar thinks fit and the Registrar is not bound by any rules of evidence.

~~"(5) A party to the application may not be represented by another person before the Registrar.~~

**Parties to application may enter into child support agreement**

~~"98J. The parties to an application may, at any time before a determination is made in relation to the application, enter into an agreement, purporting to be a child support agreement, in relation to the child support payable for the child in relation to whom the determination was sought.~~

**Decision on child support agreement**

~~"98K.(1) Subject to subsection (2), if the Registrar is satisfied that an agreement entered into by the parties to an application is a child support agreement, the Registrar must accept the agreement.~~

~~"(2) If the custodian entitled to child support who is party to the agreement is in receipt of an income tested pension, allowance or benefit, the Registrar must not accept the agreement unless he or she is also satisfied that it would be:~~

~~(a) just and equitable as regards the child, the liable parent, and the custodian entitled to child support; and~~

~~(b) otherwise proper;~~

~~to accept the agreement.~~

~~"(3) Subsections 117(4) to (9) (inclusive) apply to the Registrar in the exercise of his or her functions under subsection (2) as if:~~

~~(a) any reference in those subsections to the court were a reference to the Registrar; and~~

~~(b) any reference to the making of a particular order under Division 4 of Part 7 were a reference to the acceptance of an agreement.~~

~~"(4) If the Registrar accepts the agreement:~~

~~(a) sections 94, 95 and 96 apply; and~~

~~(b) the Registrar may not make a determination under this Part in relation to the application.~~

~~"(5) If the Registrar is not satisfied as required by subsections (1) and (2), the Registrar must refuse to accept the agreement.~~

~~"(6) If the Registrar refuses to accept the agreement:~~

~~(a) section 96 applies; and~~

~~(b) the Registrar must proceed to make a determination under this Part.~~

### **Subsequent applications**

~~"98L.(1) A person who has made an application for a determination under this Part in respect of an administrative assessment of child support is not, for that reason, precluded from subsequently making another application in respect of that assessment if, because of circumstances existing at the time when the subsequent application is made, there are grounds for departing from the administrative assessment.~~

~~"(2) If:~~

- ~~(a) a person has made an application for a determination under this Part; and~~
- ~~(b) the Registrar has refused to make a determination on the application; and~~
- ~~(c) the person subsequently makes an application for a determination under this Part; and~~
- ~~(d) the Registrar is satisfied, after considering:~~
  - ~~(i) the application last made and the documents (if any) accompanying it; and~~
  - ~~(ii) the previous application and the documents (if any) accompanying it and any matter taken into account by the Registrar in refusing to make a determination in relation to that application;~~

~~that no new matter has been submitted in support of the claim that there are grounds for departing from the provisions of this Act relating to administrative assessment of child support in relation to the child;~~

~~the Registrar may refuse to make a determination, without taking any further action under this Part."~~

~~6. Section 115 of the Principal Act is repealed and the following section is substituted:~~

### **Cases to which Division applies**

~~"115. This Division applies in the following 2 cases:~~

- ~~(a) if, after the Registrar has, on application made under section 98B:~~
    - ~~(i) made a determination under Part 6A relating to an administrative assessment of child support in relation to a child; or~~
    - ~~(ii) refused to do so;~~
- ~~the custodian entitled to child support or the liable parent wants a court having jurisdiction under this Act to make an order having the effect that the provisions of this Act relating to administrative assessment of child support will be departed~~

~~from in relation to the child in the special circumstances of the case;~~

~~(b) if an administrative assessment is in force in relation to a child and:~~

- ~~(i) the custodian entitled to child support or the liable parent is party to an application made to a court having jurisdiction under this Act (other than an application for an order under this Division in relation to the child); and~~
- ~~(ii) the court is satisfied that it would be in the interest of the custodian entitled to child support and the liable parent for the court to consider, at the same time as it hears that application, whether an order should be made having the effect that the provisions of this Act relating to administrative assessment of child support will be departed from in relation to the child in the special circumstances of the case."~~

#### **Application for order under Division**

~~7. Section 116 of the Principal Act is amended by omitting subsection (2) and substituting the following subsection:~~

~~"(2) An application may be made by the custodian entitled to child support, or the liable parent, in relation to the child."~~

#### **Orders that may be made under Division**

~~8. Section 118 of the Principal Act is amended by omitting subsection (4) and substituting the following subsection:~~

~~"(4) Subsection (3) does not apply in relation to an order if:~~

- ~~(a) it is an order made by consent; and~~
- ~~(b) the custodian entitled to child support concerned is not in receipt of an income tested pension, allowance or benefit."~~

#### **Court to give reasons for order**

~~9. Section 126 of the Principal Act is amended by omitting subsection (2) and substituting the following subsection:~~

~~"(2) Subsection (1) does not apply in relation to an order if:~~

- ~~(a) it is an order made by consent; and~~
- ~~(b) the custodian entitled to child support concerned is not in receipt of an income tested pension, allowance or benefit."~~

#### **Appeals**

~~10. Section 132 of the Principal Act is amended by inserting in subsection (1) "or 98K" after "92".~~

### **Urgent maintenance orders**

~~11. Section 139 of the Principal Act is amended by omitting subsection (2) and substituting the following subsections:~~

~~"(2) Subject to subsection (2A) and section 152, an order under subsection (1) has effect for the period specified in the order.~~

~~"(2A) If:~~

~~(a) the Registrar has made a decision refusing to accept the application for administrative assessment of child support; and~~

~~(b) the order under subsection (1) has not sooner ceased to have effect under subsection (2);~~

~~the order ceases to have effect:~~

~~(c) if the decision of the Registrar becomes final — at the time when that decision becomes final; or~~

~~(d) if paragraph (c) does not apply — at the time when a decision of a court (whether under section 106 or on appeal from a decision of a court under that section) that the applicant was not entitled to administrative assessment of child support becomes final.~~

~~"(2B) For the purposes of subsection (2A), a decision of the Registrar refusing to accept an application for administrative assessment of child support becomes final at the end of the period within which an application could have been made to a court under section 106, if the application has not been made within that period."~~

### **Election by custodian entitled to child support to end administrative assessment**

~~12. Section 151 of the Principal Act is amended by adding at the end the following subsection:~~

~~"(4) Subsection (1) does not apply to a custodian entitled to child support if he or she is in receipt of an income tested pension, allowance or benefit."~~

~~13. Section 152 of the Principal Act is repealed and the following section is substituted:~~

### **Court order etc. to cease to have effect where child support becomes payable**

~~"152. Where:~~

~~(a) at any time an amount of child support for a child becomes payable by a liable parent to another person under an administrative assessment; and~~

~~(b) immediately before that time, a court order or a court registered maintenance agreement had effect under which child support or maintenance for the child was payable by the liable parent to the other person;~~

~~the court order or maintenance agreement ceases, at that time, to have effect."~~

**~~PART 3 — AMENDMENTS OF THE CHILD SUPPORT (REGISTRATION AND COLLECTION)  
ACT 1988~~**

**Principal Act**

**14.** In this Part, "Principal Act" means the *Child Support (Registration and Collection) Act 1988*<sup>2</sup>.

**Registrar to register liability in Child Support Register on making of child support assessment**

**15.** Section 24A of the Principal Act is amended by omitting paragraph (2)(a).

**16.** After section 30 of the Principal Act the following section is inserted:

**~~Enforcement action, and entitlement to payment, in respect of registered maintenance liability  
when payer not present in Australia~~**

~~"30A.(1) If the payer of a registered maintenance liability is not physically present in Australia, then, in spite of section 30, the following provisions have effect.~~

~~"(2) Only the Commonwealth, acting as agent for the payee, may apply to a court or authority of a country that is (within the meaning of the *Family Law Act 1975*) a reciprocating jurisdiction or a jurisdiction with restricted reciprocity requesting that the registered maintenance liability be made enforceable in that country against the payer.~~

~~"(3) If, apart from this subsection, the payee would be a party to any subsequent proceedings before a court or authority of that country for the purpose of securing the enforcement of the liability, the Commonwealth, acting as agent for the payee, is to be a party to the proceedings.~~

~~"(4) If a court or authority of that country has made an order enforcing the liability, any amount payable under that order is a debt due by the payer to the payee.~~

~~"(5) Any amount in payment of a debt due under subsection (4) is to be remitted to the Commonwealth acting as agent for the payee."~~

**17.** After section 71 of the Principal Act the following section is inserted:

**Payments to third persons by payer**

~~"71A. If:~~

~~(a) the payer of an enforceable maintenance liability pays a third~~

~~party an amount that partially or completely satisfies a debt owed by:~~

- ~~(i) — the payee of the enforceable maintenance liability; or~~
- ~~(ii) — the payer; or~~
- ~~(iii) — both the payer and payee; and~~

~~(b) the Registrar is satisfied, on application made to him or her by the payer or payee in the approved form:~~

- ~~(i) — that the amount paid, or part of the amount paid, was intended by both the payer and payee to be paid in complete or partial satisfaction of an amount payable under the enforceable maintenance liability in relation to the child support enforcement period; and~~
- ~~(ii) — that, in the special circumstances of the particular case, the amount, or part of the amount, received by the third party should be treated as having been paid to the Registrar;~~

~~the Registrar must, in spite of section 30, credit the amount, or part of the amount, received by the third party against the liability of the payer to the Commonwealth in relation to the amount payable under the enforceable maintenance liability."~~

**18.** After section 72 of the Principal Act the following sections are inserted in Part V:

**Registrar may collect child support related debts from a third person**

~~"72A.(1) The Registrar may give written notice to a person:~~

- ~~(a) by whom money is due or accruing, or may become due, to a child support debtor; or~~
- ~~(b) who holds, or may subsequently hold, money for or on account of a child support debtor; or~~
- ~~(c) who holds, or may subsequently hold money on account of some other person for payment to a child support debtor; or~~
- ~~(d) who has authority from some other person to pay money to a child support debtor;~~

~~requiring that person to pay to the Registrar:~~

- ~~(e) if the amount of money is more than the amount specified in the notice as the amount of the debtor's support debt — an amount equal to the amount of the support debt; or~~
- ~~(f) if the amount of money is equal to or less than the amount of the support debt — that amount of money; or~~
- ~~(g) if the notice specifies an amount of money that is to be paid out of each payment that the notified person becomes liable, from time to time, to make to the debtor — that amount until the support debt is satisfied.~~

~~"(2) A person who, without reasonable excuse, refuses or fails to comply with a notice under subsection (1) is guilty of an offence.~~

~~Penalty: \$1,000.~~

~~"(3) A notice:~~

- ~~(a) must specify a day, not being a day before the money becomes due or is held, on or before which the money is to be paid; and~~
- ~~(b) may be varied by the Registrar specifying a later day for making a payment under the notice.~~

~~"(4) Subsection 4K(1) of the Crimes Act 1914 does not apply in relation to anything required to be done under subsection (1).~~

~~"(5) If the Registrar gives a notice under subsection (1), the Registrar must provide a copy of the notice to the child support debtor.~~

~~"(6) A notice is taken to be provided under subsection (5) if the Registrar sends the notice to the last address of the person known to the Registrar.~~

~~"(7) A notice is taken to have been given to the Commonwealth, a State or a Territory if it is served on a prescribed person.~~

~~"(8) If a person is convicted of an offence against subsection (1), the court may, in addition to imposing a penalty on the person, order the person to pay to the Registrar an amount that is not more than the amount, or sum of the amounts (as the case may be), that the person refused or failed to pay to the Registrar.~~

~~"(9) A person who makes a payment in compliance with a notice under subsection (1) is taken to have made the payment under the debtor's authority or the authority of any other person concerned and is indemnified in respect of that payment.~~

~~"(10) If:~~

- ~~(a) the Registrar gives a notice under subsection (1); and~~
- ~~(b) before the person to whom the notice is given complies with it, payment of the amount due by the debtor is made;~~

~~the Registrar must immediately give the person written notice of that payment.~~

~~"(11) For the purposes of this section, where:~~

- ~~(a) a person has paid money to a building society in respect of the issue of withdrawable shares in the capital of the society; and~~
- ~~(b) the building society has not repaid the money;~~

~~the money is taken to be:~~

- ~~(c) if the money is repayable on demand — due by the building society to the person; and~~
- ~~(d) in any other case — money that may become due by the building society to the person.~~

~~"(12) For the purposes of this section, if, apart from this subsection, money is not due, or repayable on demand to a person unless a condition is fulfilled, the money is taken to be due, or repayable on demand (as the case may be), to the person even though the condition has not been fulfilled.~~

~~"(13) In this section:~~

~~'building society' means a society registered or incorporated as a building society, co-operative housing society or other similar society under a law relating to such societies that is in force in a State or Territory;~~

~~'child support debtor' means a person who is liable to pay a child support debt or a child support related debt;~~

~~'child support related debt', in relation to a person, includes:~~

- ~~(a) the amount of penalty (if any) imposed under section 67 in respect of that debt; and~~
- ~~(b) any costs ordered by a court to be paid to the Commonwealth in respect of an offence committed by the person against this Act or the *Child Support (Assessment) Act 1989*; and~~
- ~~(c) any amount ordered by a court, upon the conviction of a person for an offence against this Act or the *Child Support (Assessment) Act 1989*, to be paid by the person to the Registrar;~~

~~'person' includes a partnership and any Commonwealth, State or Territory public authority (whether incorporated or unincorporated);~~

~~'support debt' means a child support debt or a child support related debt.~~

#### ~~Person receiving or controlling money of a debtor who is outside Australia~~

~~"72B.(1) If:~~

- ~~(a) a child support debtor is not physically present in Australia; and~~
- ~~(b) the debtor either:~~
  - ~~(i) — derives income, or profits or gains of a capital nature, from a source in Australia; or~~
  - ~~(ii) — is a shareholder, debenture holder or depositor in a company deriving income, or profits or gains of a capital nature, from a source in Australia; and~~
- ~~(c) another person in Australia receives, controls or disposes of, any of the debtor's money;~~

~~the following provisions apply:~~

- ~~(d) the other person must, when notified by the Registrar under subsection (2), pay the debtor's support debt;~~
- ~~(e) the person is authorised and required, when notified by the Registrar under subsection (2), to retain from time to time, out of any money that comes to him or her on behalf of the debtor;~~

~~enough to pay the debtor's support debt or any amount that may become payable by the debtor as a child support debt;~~

~~(f) the person is personally liable for the debtor's support debt to the extent of any amount that he or she retained, or should have retained, under paragraph (e);~~

~~(g) the person is taken to be authorised by the debtor, or any other person concerned, to make any payments under this section.~~

~~"(2) If the Registrar requires a person referred to in paragraph (1)(c) to do a thing referred to in paragraph (1)(d) or (e), the Registrar must give that person written notice of:~~

~~(a) that requirement; and~~

~~(b) the amount of the debtor's support debt; and~~

~~(c) the day by which the person should pay the amount required to be paid.~~

~~"(3) If the person who receives, controls or disposes of any of a debtor's money is:~~

~~(a) the Commonwealth or a Commonwealth authority; or~~

~~(b) a State or a State authority; or~~

~~(c) a Territory or a Territory authority;~~

~~paragraph (1)(f) does not apply to or in relation to that body.~~

~~"(4) For the purposes of this section:~~

~~(a) a person is taken to have control of a debtor's money if the person is liable to pay money to the debtor; and~~

~~(b) money, other than money that is a natural resource payment or a royalty payment within the meaning of Division 3B of Part VI of the *Income Tax Assessment Act 1936*, due by the person to the debtor is taken to be money that comes to the person on behalf of the debtor.~~

~~"(5) Words and expressions used in this section that are defined in:~~

~~(a) the *Income Tax Assessment Act 1936*; or~~

~~(b) in section 72A;~~

~~have, in this section, the meaning given by that Act or that section.~~

#### **Transaction to defeat maintenance liability**

~~"72C.(1) The court may, of its own volition or on application by the Registrar:~~

~~(a) set aside an instrument or disposition that has been made; or~~

~~(b) restrain the making of an instrument or disposition that is proposed to be made;~~

~~by or on behalf of, or by direction or in the interest of, a payer of an enforceable maintenance liability.~~

~~"(2) If the court is satisfied that the instrument or disposition has been made or is proposed to be made (as the case may be) to reduce or defeat the payer's ability:~~

~~(a) to pay child support; or~~

~~(b) if there is an enforceable maintenance liability in respect of the payer:~~

~~(i) to pay any child support debt under the enforceable maintenance liability; or~~

~~(ii) to meet the enforceable maintenance liability;~~

~~the court may set aside the instrument or disposition or restrain the making of the proposed instrument or disposition as the case requires.~~

~~"(3) The court may order:~~

~~(a) that any money or any real or personal property dealt with by any such instrument or disposition may be taken in execution, or charged with the payment, of such amounts for costs or child support as the court directs; or~~

~~(b) that the proceeds of a sale must be paid into court to abide by its order.~~

~~"(4) The court must have regard to the interests of a bona fide purchaser or other interested person and must make any order it considers proper for the protection of those persons.~~

~~"(5) The court may order:~~

~~(a) the payer; or~~

~~(b) if a person has colluded with the payer in the making or proposed making of the instrument or disposition—that person;~~

~~to pay the costs incurred by:~~

~~(c) the payee of the enforceable maintenance liability; or~~

~~(d) a bona fide purchaser or other person for whose protection an order is made under subsection (4);  
or~~

~~(e) the Registrar;~~

~~in relation to the making, or the proposed making, of the instrument or disposition or the proceedings under this section.~~

~~"(6) In this section, 'disposition' includes a sale and a gift."~~

## NOTES

1. ~~No. 124, 1989, as amended. For previous amendments, see No. 163, 1989; and No. 138, 1990.~~

2. ~~No. 3, 1988, as amended. For previous amendments see No. 132, 1988; Nos. 124 and 163, 1989; and No. 138, 1990.~~

*[Minister's second reading speech made in —  
House of Representatives on 27 February 1992  
Senate on 4 March 1992]*